

Hero MotoCorp Ltd

HEROMOTOCO

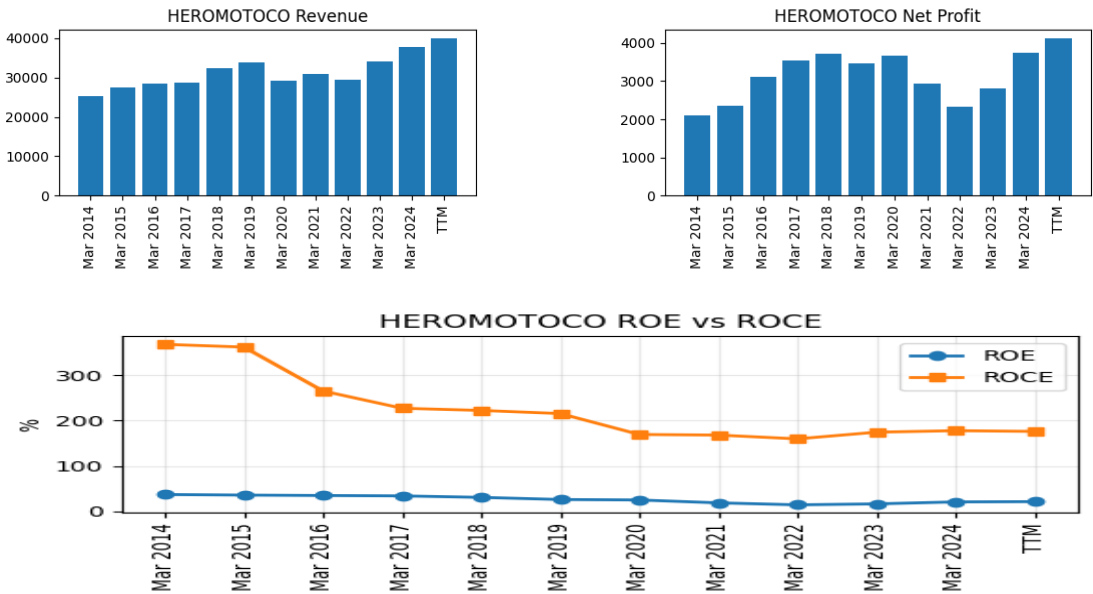
Key Financial Metrics

ROE 21.74%	ROCE 176.22%	Debt / Equity 0.03
Revenue CAGR 4.10%	FCF Conversion 131.56%	Quality Score 48.23

Company Profile

Company	Hero MotoCorp Ltd
Sector	Consumer Discretionary
Industry	Two Wheelers
Market Cap (■ Cr)	1,593,400.88
P/E Ratio	53.86
P/B Ratio	12.60
Dividend Yield	1.91%

Financial Performance



AI Investment Summary

Hero MotoCorp Ltd currently faces multiple financial challenges that increase investment risk. It currently has healthy profitability, strong capital efficiency, limited revenue growth, high quality cash-flow quality and conservative leverage. The overall financial quality score is 48.2/100. Key strengths include: Return on equity improving for three consecutive years reflects strengthening business quality and capital efficiency.; Profits are compounding faster than revenue, indicating improving operating leverage and scalability.; Strong free cash flow generation over 5 years signals healthy business fundamentals.. Key risks include: Low revenue growth may indicate a lack of business momentum.. Investment recommendation: Hold. Overall, the company appears to be financially weak with elevated investment risk.

Pros & Cons

Pros	Cons
• Return on equity improving for three consecutive years reflects strengthening business quality and capital efficiency. • Profits are compounding faster than revenue, indicating improving operating leverage and scalability. • Strong free cash flow generation over 5 years signals healthy business fundamentals. • Operating profit margin above 25% indicates strong pricing power and cost discipline. • Very high interest coverage ratio reflects negligible financial stress from debt servicing.	• Low revenue growth may indicate a lack of business momentum.

Investment Recommendation

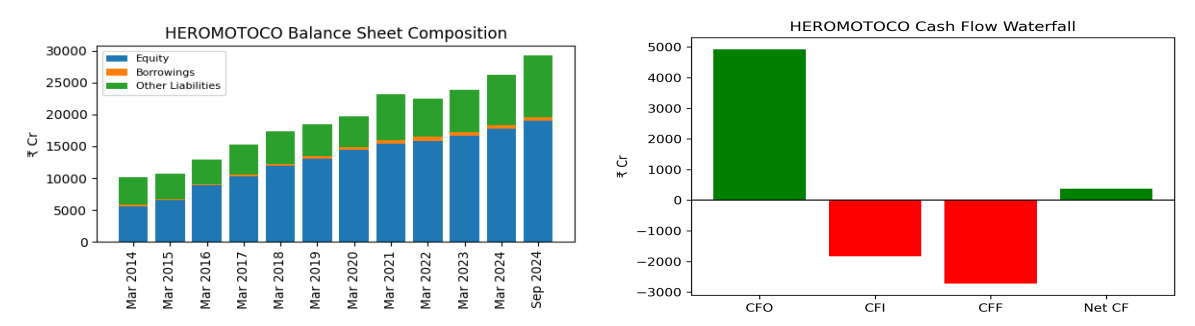
Recommendation	HOLD
Risk Level	MODERATE
Confidence	MEDIUM

Recommendation Reason:

The recommendation is based on an adjusted financial score of 50.2/100, supported by 5 identified strengths, 1 identified risks, and cash-flow quality rated as High Quality.

Adjusted Score: 50.2

Balance Sheet & Cash Flow



Financial Health

Profitability	Strong
Growth	Weak
Cash Flow	Strong
Leverage	Strong
Valuation	Expensive

Capital Allocation

Shareholder Returns